Session 7: Financial Instruments III: Derecognition, Impairment and Disclosure (IFRS9 / IFRS7)

By the end of this session you must know that IFRS9's measurement rules extend beyond initial/subsequent measurement to reclassifications, gains/losses and impairment, understand the basic logic of the IFRS9 expected-credit-loss impairment model, and know what IFRS7 requires entities to disclose about financial instruments and the risks attached to them.

Plan

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2. Impairment Under IFRS9 (Add-on)
3. Main Disclosure Requirements (IFRS7)
4. Common Mistakes and Exam Traps
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1. Where This Session Sits in IFRS9

- Session 6 covered initial and subsequent measurement.
- The source slides frame IFRS9's measurement rules as addressing four things in total: initial measurement, subsequent measurement, reclassifications, and gains and losses, plus a fifth item listed alongside them: impairment/uncollectability.
- Session 7 closes the loop on the two items Session 6 did not cover in depth: what happens when a financial asset is no longer collectible in full (impairment), and how much information about financial instruments an entity must disclose (IFRS7).

Transaction costs (relevant to initial measurement, carried over from Session 6): included in initial measurement are fees and commissions and levies by regulatory agencies and securities exchanges, and taxes and duties. Excluded are debt premiums or discounts, financing costs, and internal administrative costs.

2. Impairment Under IFRS9 (Add-on)

Expected credit loss (ECL) model (Add-on, IFRS9): instead of waiting for objective evidence of a loss event before recognising an impairment (the old "incurred loss" model under IAS39), IFRS9 requires entities to recognise a loss allowance for expected credit losses at initial recognition, updated at each reporting date.

The general model uses three stages:

- **Stage 1**: financial assets whose credit risk has not increased significantly since initial recognition. Loss allowance measured at 12-month expected credit losses.
- **Stage 2**: assets whose credit risk has increased significantly (but which are not yet credit-impaired). Loss allowance measured at lifetime expected credit losses.
- **Stage 3**: assets that are credit-impaired. Also measured at lifetime expected credit losses, but with interest revenue calculated on the net (impaired) carrying amount rather than the gross amount.

3. Main Disclosure Requirements (IFRS7)

Purpose of IFRS7 disclosures: to enable users of financial statements to evaluate (a) the significance of financial instruments for the entity's financial position and performance, and (b) the nature and extent of risks arising from financial instruments to which the entity is exposed, and how the entity manages those risks.

- IFRS7 requires disclosures covering three main categories of risk:

Must know:
• **Market risk**: exposure to changes in market prices (interest rates, foreign exchange rates, equity prices) affecting the value of financial instruments
• **Credit risk**: the risk that a counterparty will fail to discharge an obligation, causing a financial loss
• **Liquidity risk**: the risk that an entity will encounter difficulty meeting obligations associated with its financial liabilities

4. Common Mistakes and Exam Traps

- Treating "impairment" as a topic separate from IFRS9. Impairment/uncollectability is explicitly listed by IFRS9 itself as one of

the four (or five) things its measurement rules address, alongside initial measurement, subsequent measurement, reclassifications, and gains/losses.

- Confusing IFRS7 (disclosure of risk exposures) with IFRS9 (recognition, measurement and impairment). A question asking “what must be disclosed about the entity’s exposure to interest-rate risk” is an IFRS7 question, not an IFRS9 one, even though it concerns the same financial instruments.
- Assuming market, credit and liquidity risk are alternatives to disclose. IFRS7 expects disclosure of all three risk categories where relevant to the entity’s financial instruments, not a choice of one.
- Describing IFRS9 impairment as waiting for a loss event to occur before recognising any allowance. That description is the old IAS39 “incurred loss” approach IFRS9 was designed to replace. IFRS9 recognises expected losses from initial recognition onward.

5. Must Know Absolutely

Must know:
• IFRS9’s measurement rules span initial measurement, subsequent measurement, reclassifications, gains/losses, and impairment/uncollectability
• ECL model (Add-on): forward-looking, recognised from initial recognition, not dependent on a triggering loss event
• Three-stage ECL structure (Add-on): Stage 1 = 12-month ECL (no significant increase in credit risk). Stage 2 = lifetime ECL (significant increase in credit risk). Stage 3 = lifetime ECL + interest on net carrying amount (credit-impaired)
• IFRS7 purpose: let users assess significance of financial instruments and the risks attached to them
• IFRS7’s three risk categories: market risk, credit risk, liquidity risk